WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

BARBADOS

Americas

Information current as of October 2026

Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Bridgetown	Capital and commercial centre, home to government, the Central Bank and the main banking and professional-services firms	Financial and business services, administration, retail
Bridgetown Port	The island's deep-water port; Berth 6 was completed in May 2026 as cruise arrivals reached record levels	Cruise tourism, port logistics, trade
Grantley Adams International Airport (Christ Church)	Primary air gateway, with a $150 million expansion due by end-2027 and new UK, US and Canadian routes being added	Aviation services, logistics, tourism
West and South Coast tourism belts	Core of the hotel industry, where 605 renovated Marriott rooms and new resorts are opening in 2026, with Pendry, Hyatt Ziva and Beaches projects in development	Hospitality, real estate, leisure services
South Coast water reclamation project	Upgrade of the South Coast sewage plant into a water reclamation facility, funded through the world's first debt-for-climate-resilience conversion	Water infrastructure, engineering, climate resilience
Renewable energy sites (islandwide)	Tenders for 60 MW of battery storage and an onshore wind farm, built and operated by private developers under a $9.5 billion energy transition plan	Solar, wind, battery storage
International business sector (islandwide)	Established international financial-services platform with a 9% corporate tax rate and a 15% domestic minimum top-up tax for large multinationals	Insurance, wealth management, corporate services, ICT

INVESTOR ENTRY ROUTES

- Invest Barbados, the national investment promotion agency, provides facilitation and sector guidance for foreign investors
- 100% foreign ownership is generally permitted with no foreign-investment screening regime; investors obtain Central Bank Exchange Control Authority permission to acquire property or shares under the Exchange Control Act
- Foreign Currency Permits, which can exempt international businesses from exchange control rules and from property transfer tax on share transfers

- Corporate tax of 9% for most companies since January 2024, with a 15% Qualified Domestic Minimum Top-Up Tax for in-scope multinational groups in line with OECD Pillar Two
- Sector incentives including import-duty relief for manufacturing, training grants for ICT, duty-free renewable-energy equipment with tax holidays of up to 10 years, and tourism concessions via Barbados Tourism Investment Inc.
- Private-developer tenders in the energy transition, including 60 MW of battery storage and an onshore wind project
- The Barbados dollar is pegged at BDS$2 to $1, a fixed rate in place since 1975 and backed by ample reserves

MARKET-ENTRY OBSERVATION

Barbados in October 2026 offers a stable, reform-minded economy with a clear policy direction. GDP grew 2.7% in 2025, led by tourism, construction and business services, and expanded an estimated 1.4% in the first half of 2026, extending a run of 20 consecutive quarters of growth recorded by March 2026, with the IMF projecting 2.2% for the full year. Inflation averaged 0.9% in 2025, unemployment fell to 6.1% in March 2026, and foreign direct investment strengthened significantly in 2025. Prime Minister Mia Mottley secured a third term in February 2026 with a clean sweep of all 30 seats, giving continuity to the new Barbados Economic Recovery and Transformation plan (BERT 2026), which focuses on productivity, fiscal sustainability, deeper financial markets and climate resilience, and is backed by a 36-month precautionary IMF Stand-By Arrangement of about $257 million approved in June 2026.

Barbados's main structural challenge is the combination of high, though falling, public debt and exposure to climate and external shocks as a small, tourism-led island economy. The country has addressed both with discipline and innovation: a primary surplus of 4.2% of GDP in FY2025/26 has brought debt down to 93.7% of GDP at end-June 2026, on a path to 60% by FY2035/36, while gross reserves of about $1.55 billion cover around 26 weeks of imports. Barbados completed the world's first debt-for-climate-resilience conversion in 2024, backed by $300 million of IDB and EIB guarantees and generating $125 million of savings for water infrastructure, and around $300 million of further IFI funding is supporting desalination and energy projects. For investors, this resilience agenda is itself a pipeline of opportunity in renewable energy, water, health and transport infrastructure.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Exposure to hurricanes and climate events	As a small island state, Barbados faces natural-disaster risk that can affect infrastructure and tourism activity	Pioneering climate-finance instruments and IFI-backed resilience projects reduce exposure and create opportunities in water, energy and climate-resilient construction
Public debt level	Debt remains elevated at 93.7% of GDP, but is falling steadily on the back of sustained primary surpluses	A credible target of 60% by FY2035/36 and a precautionary IMF arrangement anchor confidence and support continued public investment
Reliance on tourism	Tourism accounts for about half of traded-sector output, so the economy is sensitive to visitor demand in key source markets	Rising room rates (ADR up 16.4% in Q1 2026), expanding airlift and a strong hotel pipeline support the sector, while BERT 2026 promotes diversification
Exchange controls and the 2% foreign exchange fee	Capital controls support the long-standing peg, and some transactions require Central Bank permission	Foreign Currency Permits can exempt international businesses; early engagement with the Exchange Control Authority keeps approvals straightforward
Imported energy and oil-price sensitivity	Higher global oil and food prices are expected to lift inflation to around 3.1% in 2026 and widen the current account deficit	The energy transition, with renewables already at about 15% of production and new storage and wind tenders, offers private investors a growing market
Small domestic market	A population of under 300,000 limits scale for purely domestic-facing businesses	Use Barbados as a regional base with access to the CARICOM Single Market and Economy and preferential access to

Issue	Potential Impact	Possible Mitigation
		Europe
AML/CFT and international compliance standards	Barbados left the FATF grey list in 2024 and the EU money-laundering high-risk list in 2025, with a FATF mutual evaluation due in June 2027	Strong compliance frameworks and investor due diligence align with the island's improved standing and protect reputation

INVESTOR RISK NOTE

Barbados's risk profile is that of a well-governed small island economy with a strong record of policy delivery. Twenty consecutive quarters of growth to March 2026, sustained primary surpluses, a falling debt ratio and reserves of around 26 weeks of imports reflect the success of the BERT reform programme, and the June 2026 precautionary IMF Stand-By Arrangement provides a further layer of insurance rather than a funding need. The fixed exchange rate, in place since 1975, has been a durable anchor of stability, and the banking system is strongly capitalised with falling non-performing loans. The principal risks are external — natural disasters, global oil and food prices and visitor demand — and Barbados has led the world in building financial protection against them through debt-for-climate and IFI-guaranteed instruments. Investors should plan for climate resilience in asset design and insurance, and navigate exchange control and compliance requirements with local counsel, while recognising the clear upside from political continuity and a well-funded infrastructure and energy-transition pipeline.

MARKET ACCESS

Barbados is a member of the Caribbean Community (CARICOM) and its Single Market and Economy (CSME), providing access to regional markets including fast-growing Guyana and Trinidad and Tobago, and is a founding member of the World Trade Organization. Through the CARIFORUM–EU Economic Partnership Agreement and the equivalent agreement with the United Kingdom, Barbados enjoys preferential access to European markets, and it benefits from the US Caribbean Basin Initiative and a double-taxation treaty with the United States. The economy is services-led: goods exports were about $421 million in 2025, while tourism and international business generate most foreign earnings. Expanding airlift from London, New York, Toronto, Montreal, Halifax and Panama, a newly completed cruise berth and a forthcoming airport expansion strengthen the island's role as a hub for the Eastern Caribbean.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the Prime Minister (Mia Amor Mottley)	Sets economic and climate-finance strategy, including BERT 2026 and the Bridgetown Initiative on global financial reform	Primary reference point for Barbados's strategic direction and international climate-finance agenda
Invest Barbados	National investment promotion agency; principal facilitation body for foreign investors	Standard first point of contact for market entry, incentives and sector guidance
Central Bank of Barbados	Monetary authority and Exchange Control Authority; manages the peg and reserves and supervises banks	Key counterpart for exchange control permissions and Foreign Currency Permits
Ministry of Finance	Leads fiscal policy, debt management, public-private partnerships and IMF programme delivery	Relevant for PPP opportunities and large infrastructure projects
Ministry responsible for Energy	Leads the energy transition, renewable-energy incentives and the battery storage and wind tenders	Essential partner for renewable energy and storage investment
Barbados Tourism Investment Inc.	State agency for tourism investment and administration of tourism incentives	Useful counterpart for hotel, resort and tourism-infrastructure projects
Financial Services Commission	Regulator of non-bank financial services,	Relevant for licensing in insurance,

Actor	Why It Matters	Waverley Engagement Angle
	including insurance, securities and credit unions	investment and other non-bank financial activities

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Barbados Chamber of Commerce and Industry and the Barbados International Business Association are the leading business networks, alongside the Barbados Hotel and Tourism Association for the hospitality sector. Invest Barbados runs investor outreach and connects investors with local partners and professional-services firms. The Caribbean Development Bank is headquartered in Barbados, and the Inter-American Development Bank, World Bank, European Investment Bank, CAF and the Green Climate Fund are active partners in the island's climate-resilience, water, energy and social programmes, providing valuable insight into upcoming project pipelines and co-financing opportunities.

INVESTOR PROFILE BEST SUITED

Barbados suits investors seeking a stable, English-speaking, common-law jurisdiction with a fixed exchange rate and strong political continuity: hospitality and real-estate investors benefiting from rising room rates, expanding airlift and new luxury developments; renewable-energy, storage and water developers responding to private tenders and IFI-backed resilience projects; financial-services, insurance and corporate-services firms using the international business platform; and infrastructure and PPP investors in ports, aviation and health. Investors seeking a base for wider Caribbean expansion will value CSME access and the island's regional institutions.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage Invest Barbados and confirm incentive terms
Open dialogue with the national investment promotion agency to identify sector incentives, Foreign Currency Permit eligibility and local partners.

STEP 2: Plan exchange control and tax structuring early
Secure Central Bank permissions for property or share acquisitions and model the 9% corporate tax and Pillar Two top-up rules with local advisers.

STEP 3: Track energy and resilience tenders
Follow battery storage, wind, water and desalination procurements, many supported by IFI financing, as a pipeline of bankable projects.

STEP 4: Build climate resilience into project design
Incorporate hurricane-resilient engineering and appropriate insurance, drawing on Barbados's leadership in climate-finance instruments.

STEP 5: Position for regional growth through CSME
Use Barbados as a base for Eastern Caribbean and CARICOM markets, building on expanding air and sea connectivity.